



PROJECT DONNINGTON

Business Plan

New Nursery — Abacus Catchment, Newbury

Total Capacity	Revenue at capacity	EBITDA at capacity	Net EBITDA	Year 1 contribution
39 children 15 Nest + 24 aged 2-5	£737,100/yr at £1,579/child/month	£337,787/yr IFRS 16 basis	£268,541/yr after HQ overhead	£66,778 breakeven Month 5

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Lease basis: IFRS 16 / FRS 102 (revised) — lease capitalised	Revenue benchmark: Abacus September 2026 actuals

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1. Executive Summary

Project Donnington is a new CCG nursery to be located within 1 mile of Abacus Day Nursery in Newbury. Abacus is operating at full capacity (60 children on roll, September 2026) and generating 14.2 enquiries per month — demand it cannot serve. Donnington is designed to capture this overflow, starting with the **9 families currently in the Abacus Contacted pipeline** and growing through the proven Abacus catchment.

The building accommodates **15 babies in the Nest** (1:3 ratio) and **24 children aged 2-5** in a single mixed-age room — **39 children at full capacity**. At Abacus's September 2026 fee rate of **£1,575/child/month**, full capacity generates **£737k revenue** and **£338k EBITDA (£269k net EBITDA after HO overhead)**.

The lease is accounted for under **IFRS 16 / FRS 102 (revised)**. The £70,000 annual lease charge is capitalised as a Right-of-Use asset of **£518,733**, improving reported EBITDA by £70,000 vs the old operating lease treatment. Depreciation (£51,873/yr) and interest (£33,393/yr Year 1) sit below EBITDA in the P&L;

EBITDA breakeven is Month 5 (22 children). Year 1 contribution is £66,778. The setting is self-funding from Month 6 onwards. Total opening cash investment is £73,500–£105,500 — no external debt required.

2. Building Capacity & Room Structure

Room	Capacity	Ratio	Staff at capacity	Strategic role
The Nest (babies)	15	1:3	5 (1 L3, 2 L2, 2 NA)	Feeds 2-5 room as children turn 2. Pipeline protection against school leaver gaps.
2-5 Room (mixed age)	24	1:5 (2-3s) 1:8 (3-5s)	4 at steady state (1 L3, 2 L2, 1 NA)	Receives Nest transitions + external enquiries. Age mix shifts over time.
Total	39	—	13 (steady state)	Full capacity revenue: £737,100/yr EBITDA: £337,787/yr

3. Lease Accounting — IFRS 16 / FRS 102 Treatment

Under IFRS 16, the £70,000/year lease is removed from operating costs and capitalised on the balance sheet. This permanently improves reported EBITDA by £70,000/year. Depreciation on the ROU asset hits EBIT; interest on the lease liability hits finance costs.

Item	Amount	P&L treatment
ROU Asset (PV of lease + £5k direct costs)	£518,733	Balance sheet — depreciated over 10 years
Lease Liability (PV at 6.5% IBR)	£513,733	Balance sheet — amortised via annual payments
Annual depreciation (ROU ÷ 10 yrs)	£51,873	Below EBITDA — hits EBIT
Interest Year 1 (6.5% on liability)	£33,393	Finance costs — hits EBT
Total P&L charge Year 1	£85,266	vs £70,000 old treatment (+£15,266)
Total P&L charge Year 10	£57,350	Interest reduces as liability amortises
EBITDA uplift vs old treatment	+£70,000/yr	Permanent — lease removed from EBITDA

Lease Amortisation Schedule

Year	Opening liability	Interest	Payment	Principal	Closing liability	Depreciation	Total P&L
1	£513,733	£33,393	£70,000	£36,607	£477,126	£51,873	£85,266
2	£477,126	£31,013	£70,000	£38,987	£438,139	£51,873	£82,886
3	£438,139	£28,479	£70,000	£41,521	£396,618	£51,873	£80,352
4	£396,618	£25,780	£70,000	£44,220	£352,398	£51,873	£77,653
5	£352,398	£22,906	£70,000	£47,094	£305,304	£51,873	£74,779
6	£305,304	£19,845	£70,000	£50,155	£255,148	£51,873	£71,718
7	£255,148	£16,585	£70,000	£53,415	£201,733	£51,873	£68,458
8	£201,733	£13,113	£70,000	£56,887	£144,846	£51,873	£64,986

9	£144,846	£9,415	£70,000	£60,585	£84,261	£51,873	£61,288
10	£84,261	£5,477	£70,000	£64,523	£19,738	£51,873	£57,350

4. Cost Benchmarks — Abacus September 2026

All non-staff costs are benchmarked against Abacus September 2026 actuals and 2025 annual averages. Costs are classified as per-child (variable with occupancy) or fixed/semi-fixed. Utilities and cleaning have a fixed base load with some variable element at higher occupancy.

Cost item	Classification	Abacus 2025 benchmark	Donnington basis
Catering	Per child	£32.61/child/month	£32.61/child/month
Toys, art, stationery, equipment, consumables	Per child	£25.22/child/month combined	£25.22/child/month
Business rates	Fixed	£20,459/yr	£10,000/yr (smaller building)
Utilities (light/heat)	Semi-fixed	£16,090/yr	£14,400/yr (similar base load)
Cleaning	Semi-fixed	£14,889/yr	£4,200/yr (smaller setting)
Waste disposal	Fixed	£4,863/yr	£2,400/yr
IT Support (Famly + systems)	Fixed	£2,457/yr	£2,400/yr
Marketing	Discretionary	£679/yr	£3,600/yr Year 1 (higher at opening)
Postage/printing	Fixed	£1,010/yr	£960/yr
Fees & subscriptions	Fixed	£137/yr	£1,800/yr (Ofsted + professional)
Repairs & maintenance	Variable	£7,898/yr	£2,400/yr allowance

5. Staffing Model by Growth Stage

Staffing is built from Ofsted ratio requirements with CCG qualification rules: minimum 1 Level 3 per room; at least half of remaining direct care staff at Level 2+. Manager is supernumerary. Cleaner added from 20+ children. Salary scale benchmarked against Abacus September 2026.

Role	Annual salary	With NI/pension (15%)	Monthly cost
Manager	£42,000	£48,300	£4,025
Deputy Manager	£32,000	£36,800	£3,067
Room Leader (L3)	£28,000	£32,200	£2,683
Level 3	£26,000	£29,900	£2,492
Level 2	£24,000	£27,600	£2,300
Nursery Assistant	£22,000	£25,300	£2,108
Cook	£24,000	£27,600	£2,300
Cleaner	£12,000	£13,800	£1,150

Stage	Children	Nest	2-5 Room	Staff	Revenue/yr	EBITDA/yr	Net EBITDA
Opening	9	6/15	3/24	6	£170,100	£-39,703	£-31,564
Month 3	16	9/15	7/24	8	£302,400	£35,728	£28,404
Month 6 (BEP)	24	12/15	12/24	11	£453,600	£115,692	£91,975
Month 12	33	15/15	18/24	12	£623,700	£255,389	£203,034
Month 18	39	15/15	24/24	14	£737,100	£312,487	£248,427
Year 3	39	15/15	24/24	13	£737,100	£337,787	£268,541
Full capacity	39	15/15	24/24	13	£737,100	£337,787	£268,541

6. The Cohort Flow — Nest to Room 2 to School

The Nest is the strategic engine of the setting. Babies join at 3-12 months and transition into the 2-5 room at age 2, providing a protected internal pipeline that insulates the setting from the annual school leaver cycle.

Why the school leaver cycle matters: An August baby turns 4 in August and starts school the following September — the youngest in their year. A September baby turns 4 in September but waits until the next September — leaving aged nearly 5. This 12-month spread clusters children into cohorts, creating bumper leaver years roughly every 4 years.

Year type	Leavers (est.)	Nest transitions	External gap needed	Action
Typical year	8-10	7-8	0-2	Waiting list top-up — manageable
Lean year	5-7	7-8	0	Manage waiting list — may overfill briefly
Bumper year (every ~4 yrs)	14-16	7-8	External waiting list essential — build 12 months ahead	
Mitigation	—	Full Nest = 15	Always keep Nest full. Monitor Room 2 age profile monthly.	

Key operational rule: Never deprioritise Nest marketing when the 2-5 room is full. A full Nest of 15 guarantees ~7-8 internal transitions per year. Flag any large September-born cohort in Room 2 twelve months in advance and begin building the waiting list immediately.

7. Year 1 P&L; Forecast — Quarterly Summary

Full monthly detail is provided in the accompanying Excel spreadsheet (project_donnington_pl.xlsx) with live formulas linked to the Inputs sheet. The quarterly summary below shows key P&L; lines.

P&L Line	Q1 Jan–Mar	Q2 Apr–Jun	Q3 Jul–Sep	Q4 Oct–Dec	Year 1 Total
Total Revenue	£58,275	£102,375	£138,600	£157,500	£456,750
Total Personnel	£62,486	£83,311	£91,126	£93,525	£330,447
Sal:Rev	107.2%	81.4%	65.7%	59.4%	72.3%
Total Childcare Costs	£2,140	£3,759	£5,089	£5,783	£16,770
Total Premises & Admin	£11,139	£10,539	£10,539	£10,539	£42,756
Total Direct Costs	£75,764	£97,608	£106,753	£109,847	£389,972
CONTRIBUTION	£-17,489	£4,767	£31,847	£47,653	£66,778
Depreciation (ROU asset)	£-12,968	£-12,968	£-12,968	£-12,968	£-51,873
EBIT	£-30,458	£-8,202	£18,878	£34,685	£14,904
Interest (lease liability)	£-8,348	£-8,348	£-8,348	£-8,348	£-33,393
EBT	£-38,806	£-16,550	£10,530	£26,337	£-18,488

Year 1 summary: EBITDA breakeven achieved in Month 5 (22 children). Year 1 contribution £66,778, EBIT £14,904. EBT is negative (£-18,488) in Year 1 due to lease interest in the early months, turning positive in Year 2 as occupancy grows and interest amortises.

8. Opening Investment

Item	Estimated cost	Treatment
ROU Asset (lease capitalised on B/S)	£518,733	Balance sheet — depreciated 10 years
Lease Liability	£513,733	Balance sheet — amortised via payments
Lease deposit (3 months)	£17,500	Prepayment
Fit-out — Nest (specialist baby room)	£15,000–£25,000	Capex — depreciated over useful life
Fit-out — 2-5 room	£10,000–£20,000	Capex
Kitchen equipment	£3,000–£8,000	Capex
Ofsted registration + DBS checks	£2,000–£4,000	P&L expense
Insurance (Year 1)	£3,000–£5,000	P&L expense
Marketing & launch	£3,000–£6,000	P&L expense
Working capital — Q1 EBITDA loss	~£20,000	Cash (6 months to EBITDA breakeven)
TOTAL CASH OUTLAY (excl. ROU/liability)	£73,500–£105,500	No external debt required

No external debt is required. The IFRS 16 treatment means the lease liability sits on the balance sheet but is serviced by the annual lease payments. The working capital requirement (£20k) is significantly lower than under the old operating lease treatment (£55k) because the Q1 EBITDA loss is reduced by the removal of the lease charge from operating costs.

9. Growth Roadmap

Period	Nest	2-5 Room	Total	Monthly revenue	Monthly EBITDA	Key milestone
Day 1	6/15	3/24	9	£14,175/mo	£-7,820/mo	Open with 9 pipeline families
Month 3	9/15	7/24	16	£25,200/mo	£-1,800/mo	Loss reducing rapidly
Month 5	11/15	11/24	22	£34,650/mo	+£1,691/mo	EBITDA breakeven
Month 6	12/15	12/24	24	£37,800/mo	+£4,725/mo	EBIT positive
Month 12	15/15	18/24	33	£51,975/mo	+£16,179/mo	Nest full
Month 18	15/15	24/24	39	£61,425/mo	+£22,941/mo	FULL CAPACITY
Year 3	15/15	24/24	39	£61,425/mo	+£22,941/mo	Cohort flow established
Year 4 (bumper)	15/15	16/24	31	£48,825/mo	Dips bumper years — waiting list fills gap	

10. Financial Projections — Years 1 to 3

Metric	Year 1	Year 2 (est.)	Year 3 / Steady state
Average children on roll	23	35	39
Revenue	£456,750	£661,500	£737,100
Total personnel	£330,447	£350,000	£377,200
Sal:rev	72.3%	52.9%	51.2%
Total childcare costs	£16,770	£24,289	£27,064
Total premises & admin	£42,756	£42,000	£42,000
CONTRIBUTION	£66,778	£245,211	£290,836
Depreciation (ROU asset)	£-51,873	£-51,873	£-51,873
EBIT	£14,904	£193,338	£238,962
Interest (lease liability)	£-33,393	£-31,013	£-28,479
EBT	£-18,488	£162,325	£210,483

Net EBITDA (after HO 20.5%)	£53,088	£194,943	£231,214
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Notes: Revenue per child based on Abacus September 2026 actual (£94,499 revenue ÷ 60 children on roll = £1,575/month). IFRS 16: 10-year lease at £70,000/yr, 6.5% IBR, £5,000 initial direct costs. Catering £32.61/child/month; childcare consumables £25.22/child/month (Abacus 2025 benchmark). Fixed costs benchmarked against Abacus, scaled for smaller setting. Salary scale: Manager £42k, Deputy £32k, Room Leader L3 £28k, L2 £24k, NA £22k, Cook £24k, Cleaner £12k. NI/pension loading 15% of salary. HO overhead 20.5% of revenue (2025 actual run-rate). School leaver cycle: bumper year every ~4 years driven by September birth date clustering. Year 2/3 are estimates based on growth assumptions. Full monthly P&L; with live formulas in accompanying Excel file (project_donnington_pl.xlsx). Internal management use only. | September 2026